

The Procurement Apparatus

Ireland is committing billions to defence without the institutions that convert spending into capability. This paper designs the apparatus the state needs — a single procurement agency, a statutory investment floor, a spine of shared functions, and an independent assurance line.

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The Argument — Ireland buys defence equipment without a counterparty on its own side of the table. There is no state body to define requirements, verify pricing, capture an industrial return, or audit the result — which is why procurement was outsourced to France in the first place. The remedy is not a change of supplier but the construction of the missing institutions. This paper specifies them as one architecture: a Defence Procurement and Capability Agency at the core, a statutory investment floor beneath it, a spine of shared state functions around it, and an independent assurance line above it. Most of the build is a two-year, partly legislative project. But three components require no legislation and cannot wait — an independent assessment cell, an industrial participation office, and a value-for-money audit mandate — because conditions can only be attached to the radar and armoured-vehicle contracts before they close, and those close within months.

The Problem: Why Ireland Has No Counterparty

This paper is the constructive companion to Procurement Without Architecture, which diagnosed why Dublin handed legal, administrative, and logistical control of its rearmament to France: it had no procurement apparatus of its own.

The reason the apparatus does not already exist is not money. It is the one that runs through Security Ireland's research programme: capital without architecture produces expenditure, not capability. Ireland has no requirements-definition function, no independent pricing verification, no industrial participation policy, no statutory investment floor, no acquisition programme management office, no through-life cost modelling of a naval combat system, no established supplier relationships for counter-drone or armoured platforms. The system has already managed routine replacement; however it is now being asked to deliver capability-generation programmes — primary radar, armoured vehicles, military helicopters — of a type it has never attempted.

Seen that way, the decision to outsource to France was not subservience but the rational output of an institutional vacuum: a state that cannot specify, evaluate, or benchmark a €500 million radar renewal has no alternative to accepting the terms offered by the state that can. The question, then, is not whether to buy from France but whether to build the missing machine. This paper designs it.

Design Principle — Separate who wants the capability, who buys it, and who checks it. The military should own the requirement; a procurement agency runs the buying process; and an independent cell and the public auditor check the price and the result. When these collapse into a single desk — or worse, into the supplier's own procurement agency — there is no one left to verify value.

The design follows two principles. First, integrate, don't proliferate: build one coordinating core and lean on shared state functions rather than a thicket of new agencies. Second, separate who wants it, who buys it, and who checks it — requirements, delivery, and assurance must never sit in the same hands. The Belgian armoured-vehicle overrun, a contract that drifted to roughly ten times its initial estimate, is the failure mode of a system where these functions were not separated.

The Architecture

The apparatus has four layers: (1) a governance apex that sets priorities and owns the funding, (2) a core agency that defines and delivers acquisition, (3) a spine of shared state functions it draws on but does not own, and (4) an assurance line that answers to Parliament.

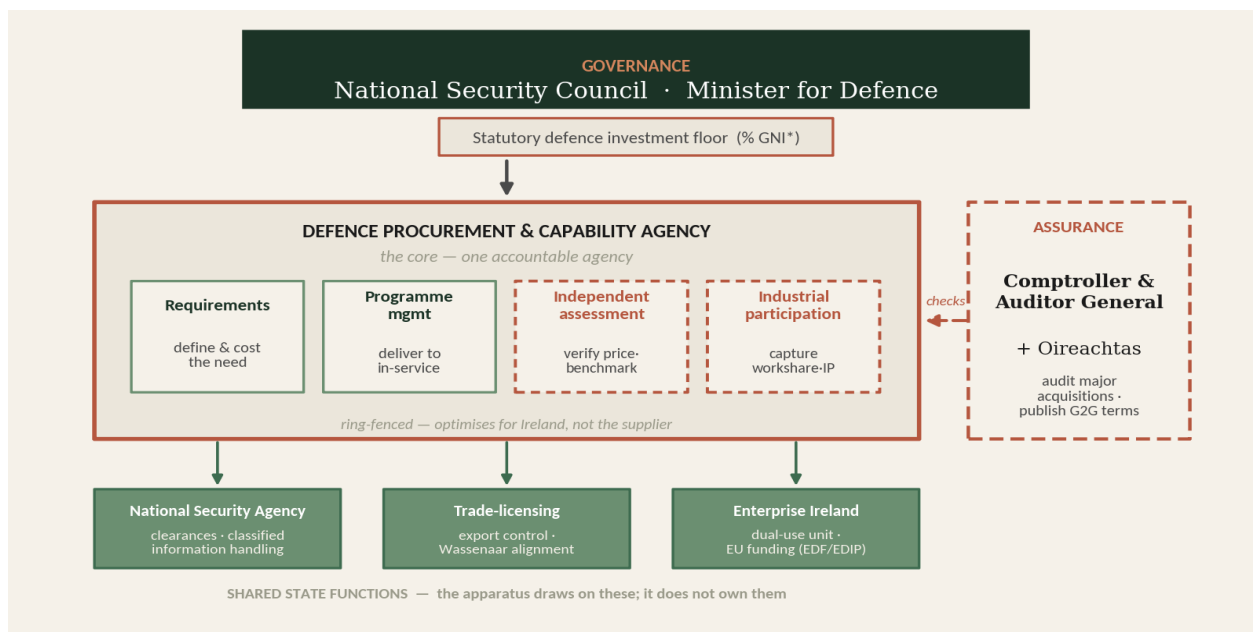


Figure 1: The procurement apparatus. A single accountable agency holds requirements, programme delivery, and two ring-fenced cells — independent assessment and industrial participation. It draws on shared state functions for clearances, export control, and dual-use industrial engagement.

Component	Function	Home	Status
Statutory investment floor	Insulate funding from budget cycles	NSC / legislation	Missing
Procurement & Capability Agency	Requirements and programme delivery — the core	Dept of Defence	Missing
Independent assessment cell	Verify pricing; benchmark systems and routes	Ring-fenced in agency	Missing
Industrial participation office	Capture workshare, technology transfer, IP rights	Within the agency	Missing
Clearances & classified handling	Vet personnel and facilities; hold classified data	National Security Agency	Interim
Export control	Licensing, end-use, Wassenaar alignment	Trade-licensing system	Minimal
Dual-use industrial unit	Link workshare to EU funding (EDF, EDIP, SAFE)	Enterprise Ireland	Blocked
Assurance line	Audit major acquisitions; publish G2G terms	C&AG; / Oireachtas	Weak

The Core: A Defence Procurement and Capability Agency

The core of the apparatus is a Defence Procurement and Capability Agency — the one institution Ireland most lacks and the centrepiece of Irish capabilities that follow. It is best understood as a coordinating core that draws on shared state functions, not as a standalone department.

The agency holds four functions, arranged to enforce the separation principle. A requirements function defines and costs what Ireland needs. A programme-management function runs each major acquisition from tender to in-service. And two ring-fenced cells — assessment and industrial participation — are structurally independent of the delivery side, so that the people verifying price and capturing workshare are never the same people negotiating the deal.

The first is an independent assessment cell. It demands open-book pricing and benchmarks every offer against both an alternative system and an alternative acquisition route — government-to-government, competitive tender, OCCAR — before the state commits. Its purpose is to be the institutional memory the system lacks.

None of this can be staffed overnight; Ireland cannot conjure a cadre of ex-industry acquisition engineers from a system that has never run a first-generation build. So the design assumes the agency must buy capacity to build capacity: secondments from partner-state procurement agencies, framework contracts with specialist consultancies, and a transition plan that replaces external expertise with permanent staff as the cadre forms.

Industrial Participation: Capturing the Return

Ireland will spend on the order of €2.5 billion on defence this decade whether or not it builds an industrial return into the spending. Without an industrial participation policy, that sum leaves the state entirely — paid to foreign primes, with no workshare, no technology transfer, and no intellectual-property or upgrade rights for Irish industry. With one, an estimated 15–30 per cent of contract value can be captured.

The EU Defence Procurement Directive (2009/81/EC) restricts traditional offsets, but permits requirements related to security of supply, security of information, and maintenance on national territory — all of which function as legitimate industrial participation mechanisms. Government-to-government procurement sits outside the Directive entirely, giving Ireland additional room to attach conditions.

Phantom offsets: the prime claims credit for activity that would have happened anyway. The fix is an additionality requirement.

Gold-plating: the prime proposes expensive, low-value activity to hit the percentage target. The fix is a pre-approved list of eligible activities with clear criteria.

Displacement: the prime subcontracts to an Irish firm at below-market terms. The fix is a fair-market-value requirement with monitoring.

Front-loading: the prime meets obligations early through easy activity. The fix is a milestone-linked schedule aligned to the procurement timeline, with penalties.

Programme	Where Irish firms can contribute	Example capability
Primary radar	Signal processing, AI detection, data fusion, through-life maintenance	Sea-Scan, Ubotica
Armoured vehicles (France)	VR training simulation, sensor integration, communications	VRAI, Provizio
Naval fleet renewal	Onboard surveillance, communications, navigation, sensor packages	Maritime-sensing firms

Where €2.5 billion goes

Decade defence spend: what an industrial participation policy keeps in Ireland



Figure 2: What the industrial participation office captures. Without an apparatus, €2.5 billion leaves Ireland; with one, an estimated €375–750 million in workshare, technology transfer, and IP stays.

The Compliance Spine

Around the core sit functions the apparatus depends on but should not own: the integrate-don't-proliferate rule in practice. Three matter most, and all three are partly built or in train elsewhere in government.

Clearances and classified-information handling. EU defence programmes require personnel and facility security clearances and the secure handling of classified technical data. The Minister for Justice established a National Security Agency (NSA) in late 2024 with this mandate; its vetting section is operational but interim.

Export control. Defence and dual-use exports require licensing, end-user certification, end-use monitoring, and alignment with the Wassenaar Arrangement. Ireland has this capacity only at minimal scale.

The dual-use industrial unit. A dedicated unit in Enterprise Ireland, unlocked by amending the Science and Technology Act 1987, connects the workshare the participation office wins to the EU instruments that can co-fund it: the European Defence Fund, EDIP, and SAFE joint

procurement.

The Assurance Line

Assurance runs on a line of its own, answering to Parliament rather than to the agency it audits. It has three elements: (1) a standing remit for the Comptroller and Auditor General over major defence acquisitions, (2) a requirement that government-to-government terms be laid before the Oireachtas within defined limits, and (3) an annual public report on programme cost, schedule, and capability delivery.

The Belgian precedent is the warning for Ireland. Belgium's Court of Audit found in 2025 that a contract for French-made armoured vehicles was heading toward roughly ten times its initial estimate, amid opaque government-to-government terms. Ireland is entering the same supplier relationship with the same procurement model and without the audit architecture that caught Belgium's overrun.

Designed Against Its Own Failure Modes

A new institution is only as good as its resistance to the ways such institutions usually fail. The apparatus is designed against five of them.

Capture. The assessment cell going native is met with structural independence from the negotiators and the use of external technical advisers who have no stake in the outcome.

The empty coordinator. A body with a name but no remit is met by giving the agency real sign-off authority over major acquisitions.

Lock-in. The Scorpion arrangement — exclusive supplier control of software and upgrades — is met by mandatory IP, data, and upgrade-access rights in every contract.

Political discontinuity. Defence investment that lapses with the electoral cycle is met by the statutory investment floor, expressed as a percentage of GNI*.

Capacity. The shortage of acquisition expertise is met by buying capacity to build capacity — secondments, framework contracts, and partner-state exchanges in the early years.

The France Question

With this machine in place, government-to-government procurement stops being a synonym for dependency. Ireland can still buy from France — but it can verify the price, benchmark the system, capture workshare, and audit the result. The relationship moves from unverified reliance to informed partnership.

The apparatus also opens the alternatives that pure French G2G forecloses. An assessment cell that can run a competitive route makes OCCAR available for European multinational programme management, the European Defence Fund for co-development, and competitive tender for programmes where multiple suppliers exist. That is not anti-French; it is pro-Irish.

Anticipated Objections

'Ireland cannot wait for new bureaucracy.' The minimum viable core is eight to thirteen people established by administrative decision — not a new department requiring legislation — and it can be stood up in weeks.

'A state this small cannot run its own procurement agency.' Comparable small states do, and the design leans on shared state functions for clearances, export control, and industrial linkage.

'An assessment cell will slow procurement.' It is scoped to major acquisitions and runs in parallel with negotiation. A few weeks of open-book scrutiny is a rounding error on a decade-long programme.

'Industrial participation is protectionism the EU forbids.' The Directive restricts classical offsets but expressly permits requirements tied to security of supply. G2G procurement sits outside the Directive entirely.

What to Build First

Three components require no legislation, cost little, and have to exist now — because conditions can only be attached to the radar and armoured-vehicle contracts before signature, and those are closing within months.

1. Stand up an independent assessment cell. Five to eight people — technical, commercial, and cost analysis — established by administrative decision inside the Department of Defence and staffed at speed through secondments and framework contracts. First assignment: open-book review of the primary radar contract.
2. Establish the industrial participation office. Three to five people on an administrative basis, applying workshare, technology-transfer, and IP-and-upgrade-access requirements to the radar and armoured-vehicle contracts before they close.
3. Give the Comptroller and Auditor General a standing remit. A permanent audit mandate over major defence acquisitions, and a transparency rule requiring government-to-government terms to be laid before the Oireachtas within defined limits. Near-zero cost, immediate effect.

Sequencing

The core trio is Phase 1: administrative and ministerial action in 2026, no legislation required. Phase 2 (2027–2028) is the legislative build — it puts the agency on a statutory footing, makes the National Security Council the governance apex, enacts the statutory investment floor, and passes the Science and Technology Act amendment to unlock Enterprise Ireland. Phase 3 (2028–2032) is capability maturity: the agency runs its first generation of major programmes through delivery, Irish firms move into European supply chains through the EDF and EDIP, and the assurance line publishes its first full programme audit.

Building the apparatus: a three-phase sequence

The core trio is administrative and immediate; the statutory build follows; capability matures last. The phasing mirrors the LOA transition.

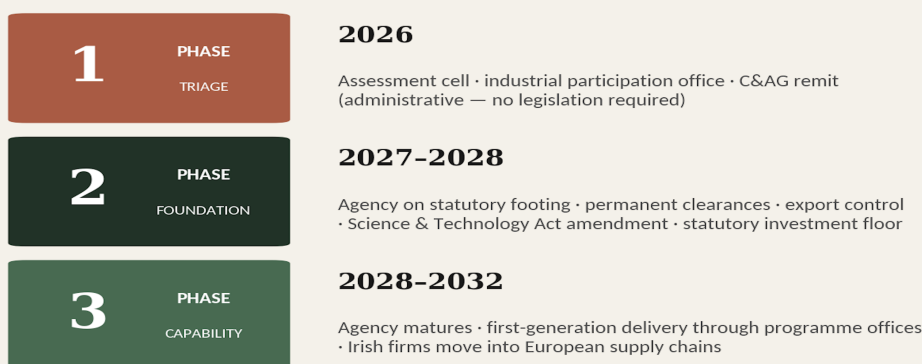


Figure 3: The three-phase sequence. The minimum viable core is immediate and administrative; the statutory architecture follows; capability and industrial participation mature last.

The Bottom Line — The apparatus is the difference between buying equipment and building capability. Its full form is a two-year institutional project, but its core (assessment, participation, audit) is a matter of administrative decision and can be in place this year. The contracts are closing now. Ireland can sign them with a counterparty on its own side of the table, or without one. That choice, not the choice of France, is the one that determines whether €2.5 billion produces capability or merely expenditure.

A Note on Method: This paper synthesises publicly available information from Security Ireland's research programme. It draws on the institutional-prerequisites series, the proposed National Security Strategy framework, the LOA Transition Architecture, the Intelligence Architecture Reform paper, and on public reporting of Ireland's procurement pipeline and EU defence-industrial instruments. The institutional design is the author's; it is offered to be adopted, adapted, or contested.

Series Context: Constructive companion to 'Procurement Without Architecture'. It implements the procurement and industrial-policy components of the proposed National Security Strategy framework.